

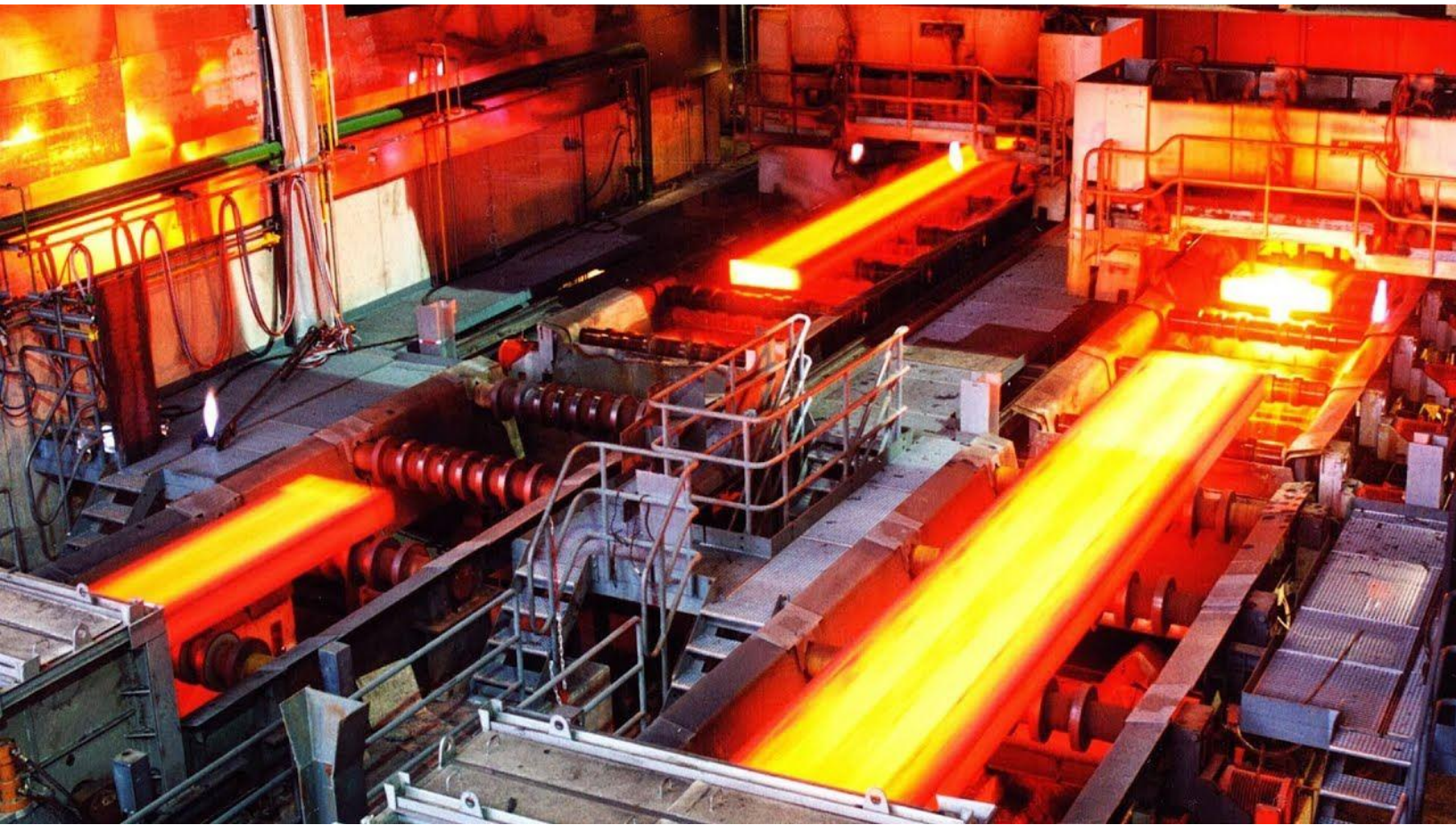
Engineering

Mughal Iron and Steel Industries

Ferrous fortunes, Non-ferrous horizons

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REP - 300



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Ferrous fortunes, Non-ferrous horizons

We initiate coverage on Mughal Iron and Steel Industries (MUGHAL) with a “BUY” rating and a Jun’26 target price of PKR 127/share, offering a total upside (capital gain and dividend yield) of 83% from current levels of PKR 71/share. We expect MUGHAL’s profitability to rise sharply, reaching PKR 12.1/share in FY26f and a robust PKR 16.7/share in FY27f as the full impact of the Captive Coal Plant (CPP) is realized. We forecast a robust 5-year (FY26-30) forward earnings CAGR of 21%, underpinned by:

- Cost efficiencies from the 36.5MW coal-fired power plant, reducing reliance on expensive grid power and restoring ferrous margins.
- Market share gains achieved through resilient operations in FY24–FY25, positioning the company for stronger volume growth ahead.
- Lower raw material costs following duty removals on steel scrap and motor scrap, enhancing competitiveness and profitability.
- Revival of construction activity driving sustained demand for ferrous products.
- Earnings diversification through a high-margin non-ferrous segment, supported by surging global copper demand linked to the AI and EV boom, and facilitation of copper exports through EFS.

The stock is trading at an attractive FY26/FY27 P/E of 5.9x/4.2x compared to last 10-year average P/E of ~9.0x.

Cost savings from upcoming 36.5MW Coal-fired power plant (CPP)

The upcoming 36.5MW Coal-fired power plant (CPP) being set up by MEL (Mughal Energy Limited), a wholly owned subsidiary of MUGHAL, is set to contribute a 5-year forward average of 30% to earnings (averaging PKR 4.3/share). Even with a conservative power mix of 50% captive and 50% grid initially (FY26), the current grid cost of PKR 35/unit will be reduced to PKR 27-28 per unit in FY26 and enable further power savings in the years ahead. We expect savings from the CPP alone to improve ferrous margins by 3-5%, taking the overall ferrous margins to the 10-11% range.

Leading market share in the ferrous segment

MUGHAL’s market share in the long steel segment has averaged 5% historically, but in FY24 and FY25 has firmly entered the 7-8% range. We project this share to sustain in that range, with a 5-year forward average market share of 7.8%. MUGHAL will likely be able to retain much of this growing market share due to strong distribution networks, the support of a high-margin copper segment, and superior working capital management. As the rest of the industry operates well below capacity, MUGHAL as of now is operating at ~55-60% capacity in its ferrous segment, and we expect utilization to grow to ~70% by FY30.

Lower raw material costs and a favorable duty structure

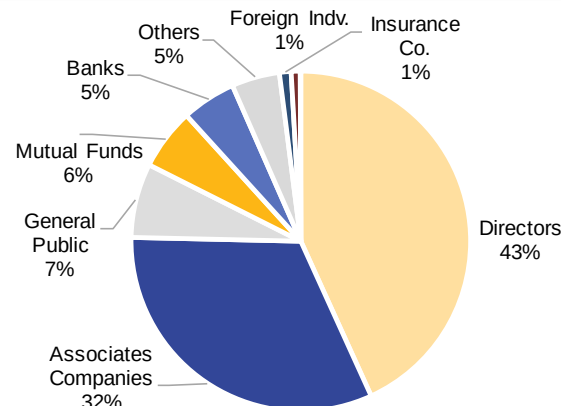
Raw material costs for the ferrous and non-ferrous segments are set to fall due to a favourable duty structure and stable scrap prices internationally, both of which bode well for MUGHAL. The reduction of duties on steel scrap lowers costs for the ferrous segment significantly, and results in primary margins (Scrap-Rebar) 1-2% higher. Additionally, the declining price of steel scrap is expected to realize a 2-3% improvement in margins, as scrap prices are currently ~28% lower than their peak in FY22. Cumulatively, this should result in a 3-4% improvement in primary margins from ~27% to ~31%.

MUGHAL

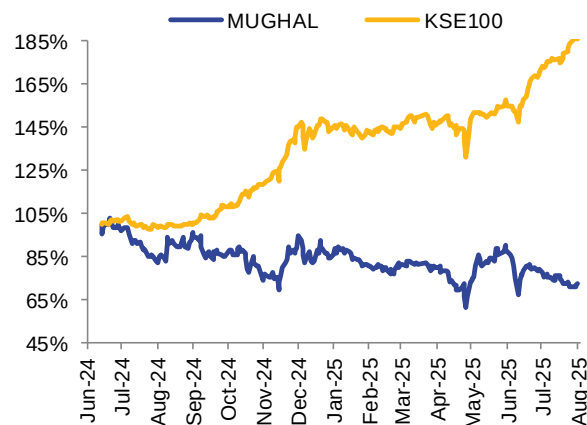
Recommendation		BUY	
Target Price		127.1	
Last Closing		70.8	
Upside		79.5%	
Shares (mn)		335.6	
Free float (%)		25.0	
Market Cap. (PKR mn)		23,766.2	
Market Cap. (USD mn)		84.3	
Price Performance			
	3M	6M	12M
Return (%)	-8.8%	-8.3%	-10.9%
Avg. Volume (000)	1,434.9	979.7	980.2
ADTV (mn) - PKR	102.1	69.2	72.4
ADTV (000) - USD	360.6	245.1	258.4
High Price - PKR	81.0	81.0	86.0
Low Price - PKR	60.4	55.0	55.0

Source: PSX, AHL Research

Shareholding Pattern



Source: Company Financials, AHL Research



Source: Bloomberg AHL Research

Revival of construction activity

On the back of improving macros, aggregate demand is set to pick up; interest rates lowered from 22% to 11%, a stable USD/PKR exchange rate, and lower energy costs, all lay a foundation for a strong comeback by the construction sector. The Federal and provincial governments have also renewed focus on the sector through home financing schemes and loan guarantees. These factors will drive demand for long steel, an industry closely allied to construction.

A high-margin non-ferrous segment

MUGHAL's copper export business has not only helped the company stay resilient in the ferrous downturn of FY23 and FY24, but has locked the company into a crucial global supply chain going forward; central in everything from EVs to AI-chip semiconductors, copper demand and prices present a very favorable future for this line of business. Even if inputs like grid costs were to rise, the CPP savings and the high-margin nature of the copper business (~25% GMs since FY21) give much room to absorb this impact. While the segment faced low utilization in 4QFY25 and early 1QFY26, the FBR's S.R.O 1435(I)/2025, (dated 5th August, 2025), will serve to streamline scrap imports under the EFS and facilitate a resurgence in copper exports.

Exhibit: Valuation snapshot

	Unit	FY24a	FY25e	FY26f	FY27f	FY28f	FY29f
EPS	PKR	5.7	2.0	12.1	16.7	19.4	22.1
DPS	PKR	-	-	3.0	4.0	5.0	5.5
BVPS	PKR	77	79	84	95	108	124
P/E	x	11.3	35.4	5.9	4.2	3.5	3.1
DY	%	-	-	4.4	6.1	7.1	8.1
P/B	x	0.8	0.9	0.8	0.7	0.6	0.5

Source (s): Company Financials, AHL Research

Valuation

We have valued MUGHAL using an average of a DCF-based valuation and P/E multiple-based method, resulting in our Jun'26 target price set at PKR 127/share, which translates into a total return of 83% (capital gain and dividend yield) from the last closing of PKR 71/share. We expect MUGHAL to resume dividend payouts in FY26, with a projected DPS of PKR 3.0/4.2 in FY26/27. Our valuation parameters include a 5-yr adjusted beta of 1.345, a risk-free rate of 11.6%, and a risk premium of 6.0%, which gives a cost of equity of 19.7%. With a capital structure of 61% debt and 39% equity, the WACC arrives at 12.3%. Currently, the stock is trading at a FY26 and FY27 P/E of 5.9x and 4.2x, respectively, compared to last 10-year average of ~9.0x. For our P/E based valuation, we have used the last 10-year average P/E multiple. Hence, we recommend a 'BUY' stance on the scrip.

Exhibit: Value parameters

Growth rate	4.5%
Risk free rate	11.6%
Beta	1.35
Equity risk premium	6.0%
CAPM	19.7%

Source (s): AHL Research

Exhibit: Valuation Summary (Avg of Free Cash Flow to the Firm and P/E-based Valuation)

PKR mn	Jun-26	Jun-27	Jun-28	Jun-29	Jun-30
DCF - Based Valuation					
Cash Flow From Operations	4,604	3,021	3,539	4,769	5,679
Capex	(3,351)	(1,541)	(1,618)	(1,699)	(1,534)
Interest (1-t)	2,387	2,287	2,317	2,357	2,373
FCFF	3,640	3,767	4,238	5,428	6,518
PV of FCFF	3,640	3,355	3,362	3,835	4,103
Terminal Value	87,644				
PV of Terminal Value	55,162				
Value of Firm	73,457				
Debt	35,332				
Equity Value	38,125				
No. of Shares (mn)	336				
Equity Value/Share - Jun'26 (PKR)	120				

P/E - Based Valuation

Exit Multiple	9.0
Earnings 2-year forward (PKR mn)	5,595
Equity Value discounted (PKR mn)	44,853
Equity Value/Share - Jun'26 (PKR)	134

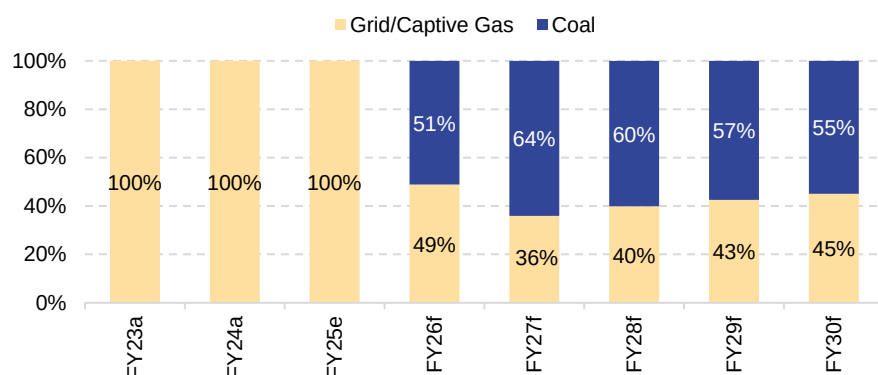
Equity Value/Share (Avg.) **127**

Source (s): Company Financials, AHL Research

Cost savings from the Captive Coal Plant (CPP)

With a total energy requirement averaging 48MW in the next 5 years, MUGHAL is expected to take its power mix to 50% CPP-based as we expect it to come online 2QFY26, and even higher in the coming years. We have taken the plant to be operational by Sep-Oct'25 at the latest. Even with a conservative estimate of a 50% captive and 50% grid power mix initially (FY26), the current grid cost of PKR 35/unit will be reduced by PKR 8-9/unit in FY26, and enable cost savings in the years ahead. The EPS impact of the CPP is significant, with 30% added to EPS on average until FY29. FY27, the first full year we expect the CPP to be functional, may have a notable 32% EPS impact. As the second biggest cost of sales component for the company, power cost saving will contribute to the overall margins of the business but will positively affect the ferrous segment in particular as it is more energy-intensive. The ferrous segment requires 750-800kWh/ton of energy to convert steel scrap into Rebar/Girders.

Exhibit: MUGHAL's power mix



Source (s): Company financials, AHL Research

Ferrous gross margins have hovered around 5-6% since FY24, standing at 5.2% in 9MFY25, but are projected to recover to 7-8% in 4QFY25 due to a reduction in the electricity tariff from PKR 42-45/unit to PKR 35/unit. Therefore, the existing energy savings of lower grid costs will be enhanced by the CPP.

Looking ahead, MEL, a wholly owned subsidiary of MUGHAL, will incur a total Capex of ~USD 23mn/PKR 6.5bn to set up this coal plant. With a 65:35 debt to equity split, MUGHAL signals strong shareholder commitment and de-risking the project. The blended financing mix moderates leverage while the PKR 6bn guarantee issued by MISIL underpins lender confidence. The project relies on both Sukuk issues and bank loans, the latter with a 5-year tenor.

Exhibit: CPP Financing Breakup

		PKR mn	USD mn	% of Total
Sponsor Equity	PKR	2,275	8.07	35.0%
Sukuk Issuance	PKR	2,500	8.86	38.5%
Bank Loans	PKR	1,725	6.12	26.5%
Total CAPEX	PKR	6,500	23.05	100%

Source (s): Company Financials, AHL Research

The captive coal plant insulates the group from DISCO tariff swings and frees up cash to fuel steel capacity growth and expand copper exports. In doing so, it significantly increases MUGHAL's GPMs and uplifts its return on capital employed.

Exhibit: EPS impact of CPP

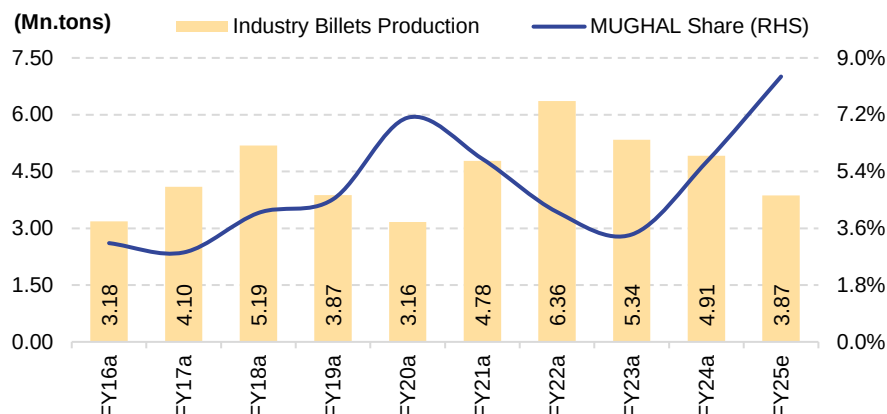
	FY26f	FY27f	FY28f
EPS grid only (PKR)	9.3	12.6	15
EPS with CPP (PKR)	12.1	16.7	19.4
CPP contribution to EPS (PKR)	2.8	4.1	4.4
% Impact	30%	32%	29%

Source: AHL Research

Consolidating a growing market share

Steel companies in the listed space, and long steel companies in particular, have struggled in recent years; FY22 saw an all-time high in billet/ingot production at 6.4mn tons, which has declined by a massive 39% to 3.9mn tons in FY25. While the industry's output declined 7.9% from FY23 to FY24, MUGHAL's billet production rose a meaningful 54%, indicating a steep increase in their market share.

Exhibit: MUGHAL's share in industry production



Source (s): PBS, Company Financials, AHL Research

We believe that MUGHAL achieved this pronounced volumetric growth by not passing on rising costs to consumers, at the cost of their historic margins in the ferrous segment; they averaged 10.1% between FY19 and FY23, and were down to 4.4% in FY24 and an expected 5.3% in FY25. The recent volumetric growth has allowed MUGHAL to capture more than 8% of the national long steel market, with a 5-year forward expected average of 7.8%. This figure is up from a 5-year trailing average of 5%. The 5-year forward average gross margins are forecasted to be 11.1%, an improvement over already-healthy historical averages.

Even in FY23, when the entire industry was devastated by an economic slowdown and a plummeting currency, MUGHAL's ferrous production dipped but its revenues were stable, growing a modest 2%. This is evidence of both the robustness of the non-ferrous business, and the relative competence of MUGHAL's management in navigating through times of turbulence. In FY24, as the rest of the listed space faced an aggregated 57% decline in billet production, MUGHAL's billet production increased by a formidable 54%. MUGHAL's 5-year trailing production CAGR is 14%, while the other listed players' CAGR stands at -8%, and the industry at large had a CAGR of 8.4% over the same period. Based on the results of 9MFY25, MUGHAL is set to outperform the listed long steel sector by a dramatic margin once more. In FY25, MUGHAL's production is expected to grow by 5-10% as per our estimates, despite long steel industry production declining by ~20%. We have forecasted Ferrous segment utilization at 55-70% from FY26-FY30, with current utilization levels at ~55% as of 4QFY25.

Exhibit: Billets production

000'tons	FY20a	FY21a	FY22a	FY23a	FY24a
MUGHAL	225	277	262	182	280
YoY Change	28%	23%	-6%	-31%	54%
Other Listed	478	546	550	499	215
YoY Change	9%	14%	1%	-9%	-57%

Source: Company Financials, AHL Research

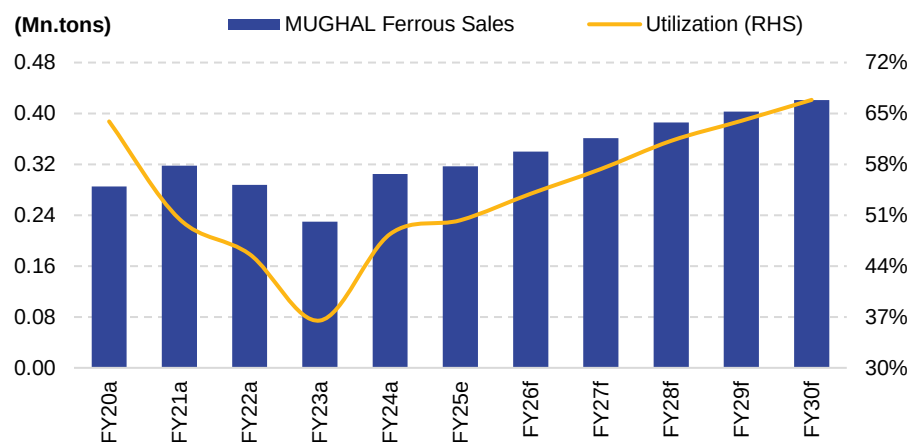
Revival in the construction sector to boost steel

We expect improving macro indicators to aid a revival in aggregate demand, which is set to favor MUGHAL as growing construction demand will also boost demand for steel, a core input. Interest rates plummeting over the last several quarters will aid MUGHAL on several levels; it will benefit the overall construction sector by lowering borrowing costs for builders and mortgage rates for home financing. These lower rates will have a pronounced effect on MUGHAL, a company that operates on 61% debt and 39% equity, and has a significant mix of long-term debt and short-term working capital needs.

The capacity utilization of local steel manufacturers currently stands at an estimated 30-35%, compared to MUGHAL operating at ~55-60%, and we expect both to increase meaningfully in the next construction upswing. In our view, this will stem from an organic, market-based demand, but also from government-sponsored housing schemes, and is likely to begin materializing in FY26.

The improving interest rate environment is set to benefit MUGHAL significantly. According to our projections, the debt ratio of MUGHAL will improve significantly in the coming years, as a 5-year trailing average of 0.50 will fall to a 5-year forward average of 0.44. For a company with high working capital needs, the Interest Coverage Ratio is of particular importance, and we project MUGHAL's to improve significantly, due to both higher operating profitability and lower interest rates. At a worryingly low 1.0 and 1.1 in FY24 and FY25, we project the interest coverage ratio to rise above the historic averages of ~3.3, closer to 3.7 on a 5-year forward basis. The trend shows it steadily rising, being securely and consistently above 4 after FY28, and showing continued steady improvement even after. However, even in the challenging years of FY24 and FY25, MUGHAL maintained a coverage ratio above 1, signalling a marked resilience that made it stand out in the sector.

Exhibit: MUGHAL ferrous sales and capacity utilization



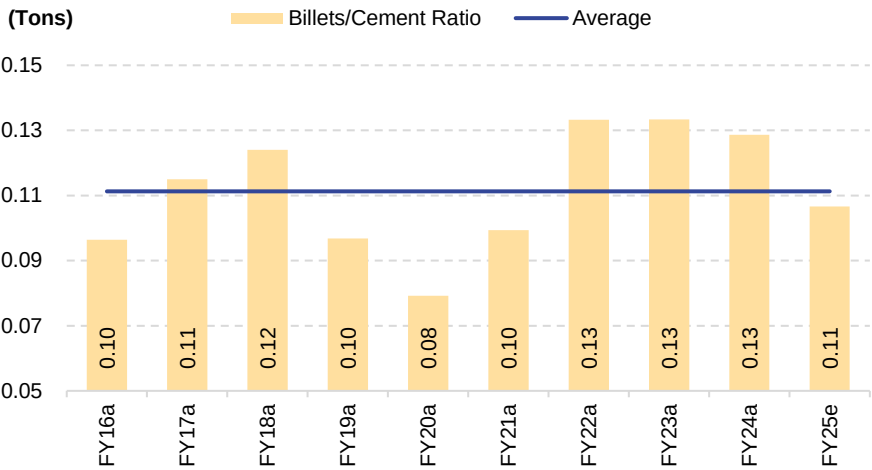
Source (s): Company Financials, AHL Research

In addition, the withdrawal of the GST exemption in the former FATA/PATA regions will benefit the formal steel industry and Long Steel Manufacturers in particular, as the pricing asymmetry will be corrected, in our view. FATA/PATA prices are commonly as low as PKR 220,000/Ton while the rest of the country sells at ~PKR 245,000/Ton. Considering that FATA/PATA supply a reported ~10-15% of long steel in Pakistan, this correction is likely have a positive impact on listed steel companies.

Another metric to gauge steel sector demand, a useful base for which to project MUGHAL's organic growth, is in comparison to the Cement sector. Typically, the growth of the cement industry is heavily linked to GDP growth. Assuming GDP growth of 3.5% in FY26, cement growth should arrive at ~7% according to historic multipliers. On average, steel growth tends to be ~1-2% lower than cement, which would put it in the 5-6% range.

Consequently, we expect MUGHAL's Ferrous segment sales to increase to 421k Tons by FY30, at a 5-year CAGR of 6%. This is compared to sales of 305k Tons in FY24 and sales of 315-320k Tons in FY25e.

Exhibit: Industry billets and cement comparison



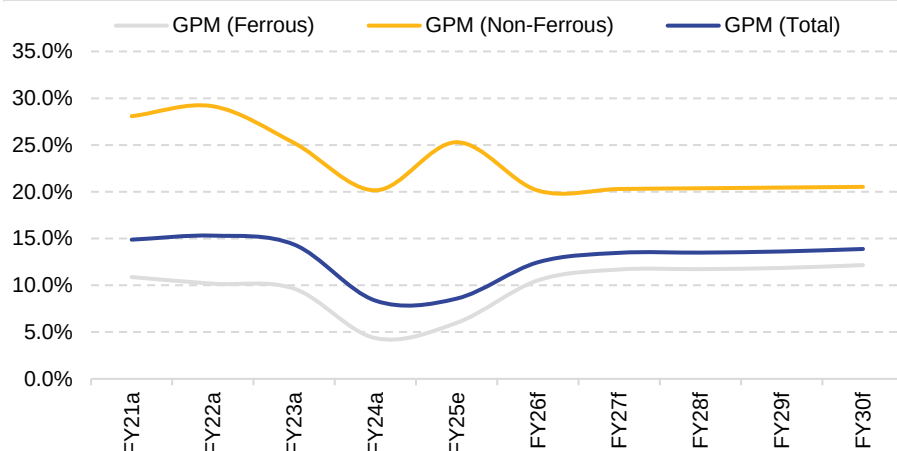
Source (s): PBS, AHL Research

Duties down, steel scrap at multi-year lows

A host of factors favor the ferrous segment's gross profitability, arising in tandem with one another and improving the segment's outlook significantly. Firstly, the reduction in duties on steel scrap are set to increase primary margins in the ferrous segment by 1-2%, providing a meaningful advantage to billet and rebar producers. The previous duty regime, which resulted in an effective duty incidence of 7% on ferrous and non-ferrous scrap, is being phased out; the 5% RD and 2% ACD will be reduced according to the schedule laid out in the latest National Tariff Policy, with the current 5% RD being reduced to 0% in FY27, resulting in no duties on shredded scrap, the type of scrap most used by MUGHAL.

The lower cost of ferrous raw materials is also due to international steel scrap prices falling to multi-year lows, and an outlook of declining prices according to most notable observers. While the FOB price of steel had a 5-year trailing average of USD 386/MT, various projections peg the 5-year forward average as closer to USD 350. This price reduction is also set to improve margins by 2-3%. The prevailing logic behind this forecast is slowed construction activity in China, ailing infrastructure development globally, and slowed economic growth across the board; this dampened demand for construction materials will inevitably lead to lower steel prices. Cumulatively, reduced duties and falling scrap prices will result in a ~4% improvement in primary margins from ~27% to 31%.

Exhibit: Segment wise gross margins



Source (s): Company Financials, AHL Research

Additionally, using residual scrap from non-ferrous operations to produce steel causes a meaningful change in margins for both segments. When motor scrap is recycled to produce copper, 60% of the steel scrap processed remains reusable for billet production. Previously, this scrap used to be sold off in the local market, but is now transferred to the ferrous segment to be used in billet production. When the scrap was previously sold off, its proceeds were linked to higher margins for the non-ferrous segment. Now that it provides cheaper raw material to the ferrous segment, it serves to expand ferrous margins. We project that this cheaper, residual scrap will serve 8-10% of the ferrous segment's scrap requirements in the coming years. Thus, the "drop" in non-ferrous GMs is really an internal transfer of margins to the ferrous segment, as opposed to a real decline in margins that hurts the company's margins overall.

Exhibit: Historic Steel Scrap Prices

(USD/M.tons)	Steel Scrap	YoY
FY21a	384	43.6%
FY22a	498	29.7%
FY23a	394	-20.9%
FY24a	387	-1.9%
FY25e	361	-6.7%

Source (s): Bloomberg, AHL Research

Exhibit: Duty incidence upon steel scrap

Year	Duty incidence
FY25	7%
FY26	5%
FY27	0%

Source (s): National Tariff Policy, AHL Research

Non-ferrous edge: high margins and an export focus

The highly profitable business line of copper exports, which consists mainly of semi-finished copper ingots and granules sent to China for finishing and trading, has emerged as the crown jewel of MUGHAL amidst economic uncertainty in recent years. The segment has contributed as high as 50% of profits at only 25% of the revenue, reflecting the strong margins of the segment. The average 4-year trailing GM, since the segment was initiated in FY21, is at 25.6%. Despite the GPM being projected to fall within the corridor of 20-21% on an average 5-year forward basis, it remains a high-margin segment with many opportunities for volumetric expansion, further value-addition to raw copper, and diversifying to more export markets across the globe. The segment's recycling operations in the non-ferrous segment have been expanded to 120,000 Tons/annum, up from 90,000 Tons/annum. This reflects the confidence that MUGHAL has in copper exports and its potential for growth, investing in its growth for the long-term. We expect MUGHAL's Non-Ferrous exports to increase to 7,400 Tons by FY30, growing at a 5-year CAGR of 11.0%.

Exhibit: Ferrous and Non-Ferrous Contribution

Years	GPM Contribution		Revenue Contribution	
	Ferrous	Non-Ferrous	Ferrous	Non-Ferrous
FY21a	77%	23%	56%	44%
FY22a	73%	27%	48%	52%
FY23a	70%	30%	47%	53%
FY24a	75%	25%	39%	61%
FY25e	81%	19%	50%	50%
FY26f	80%	20%	67%	33%
FY27f	79%	21%	69%	31%
FY28f	80%	20%	69%	31%

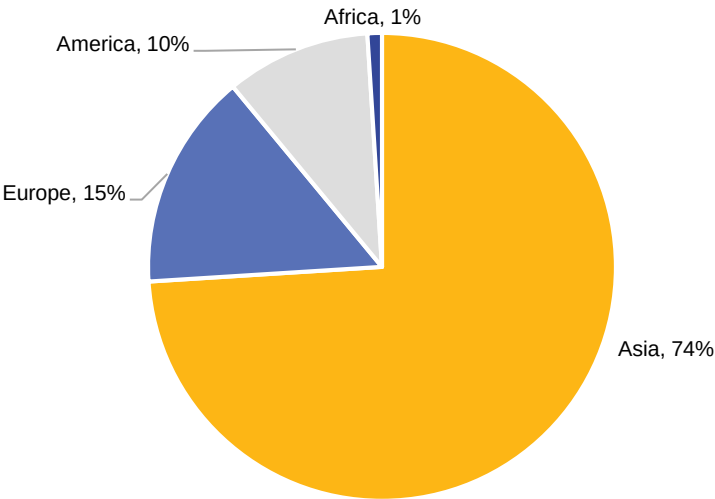
Source (s): Company Financials, AHL Research

The non-ferrous segment, which was operating at low capacity in 4QFY25 and at the start of 1QFY26, should pick up once again due to the FBR facilitating copper inputs under the EFS. Steel scrap imported for copper production will be assessed as having 8-10% copper content, depending on the type of scrap, and the remaining content will get the duty treatment of iron and steel scrap.

As the U.S-China tariff war injects uncertainty into global supply chains, MUGHAL's non-ferrous segment looked under threat as much of its production is exported and finished in China with the U.S as its final destination. However, this has unlocked new opportunities to supply raw and minimally processed copper products to China as the country moves to stockpile copper after "Liberation Day" tariffs shook its confidence in global supply chains. If MUGHAL can capture some of this market, which is meant for end-use in China, the Asia-Pacific region, and beyond, it can take the uncertainty of the U.S-China tariff war and turn it into an advantage. 74% of global copper demand is in Asia, 15% in Europe, 10% in the Americas, and 1% in Africa, which presents a broad range of export opportunities for MUGHAL.

There are a host of factors driving the surge in Chinese copper demand; China’s energy transition needs, which include demand for EVs and Ultra-high Voltage transmission lines, are a cornerstone for this demand. Additionally, China is aiming to expand their smelting capacity by 10% in 2025, and smelters require large quantities of copper concentrate. Finally, there is widespread speculation that China is preparing for a currency devaluation, which would explain stockpiling commodities like copper as a hedge against inflation. Therefore, if MUGHAL can leverage its existing relationships with Chinese buyers who trade and refine copper, it can become an integral part of these evolving supply chains that are crucial to the evolution of AI and energy tech.

Exhibit: Global copper demand by region



Source (s): IWCC, AHL Research

Key risks

- The concentration of MUGHAL's non-ferrous clients in China alone remains a notable risk, as even though China comprises ~60% of global copper demand, a regulatory or unit-economics shift in one market can alter the demand landscape and put the entire segment at risk.
- Both of MUGHAL's business lines are vulnerable to swings in commodity cycles as their primary raw material is metal scrap, whether it be steel scrap for ferrous operations or motor scrap for the non-ferrous segment. Any significant rise in scrap prices could hurt the healthy margins in both segments, and ultimately hurt profitability.
- Macroeconomic instability in Pakistan could pose risks to the company in various ways: slowed growth could result in depressed demand, a fiscal squeeze could see the reimposition of various duties like RDs and ACDs that are being phased out, and a hike in electricity tariffs.

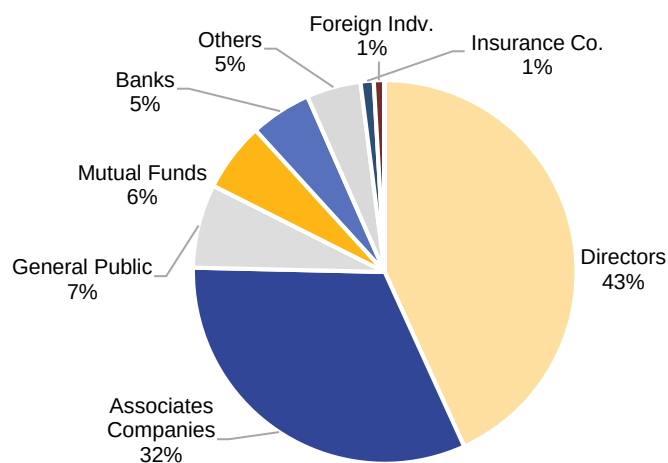
About the Company

MUGHAL was listed as a public limited company in 2010, and has grown into one of the leading steel companies in the country. It currently manufactures i) steel rebars (G60 / MUGHAL Supreme), ii) Girders, iii) Billets in its ferrous segment, and mainly iv) Copper ingots and v) Copper granules in its non-ferrous segment. The Scrap-melting capacity of the company is set at 590k tons and Re-rolling capacity at 630k tons. In its non-ferrous segment, the melting capacity is 10k tons while the recycling plant has a capacity of 90k tons. The company is also in the final stretch of setting up its own 36.5Mw Captive Power Plant (CPP) under Mughal Energy Limited, a subsidiary. The company has been awarded a strong credit rating by both PACRA and the VIS Credit Rating Company. They have issued Mughal Iron and Steel Industries an A+ for long-term borrowing and A1 for short-term borrowing.

Shareholding Pattern

MUGHAL's shareholder presents a highly concentrated shareholder base, with a tightly held structure and strong insider control; The largest stake of 43% belongs to Directors, CEOs, their spouses, and minor children, alongside a 32% holding by associated companies. The general public follows with an ownership stake of 7% of the shares. Mutual Funds, Banks, and foreign investors also have holdings amounting to 5%, 5%, and 1% respectively.

Exhibit: Shareholding pattern



Source (s): Company financials, AHL Research

Financial Highlights

Exhibit: Key financial highlights

PKR mn	FY24a	FY25e	FY26f	FY27f	FY28f		Unit	FY24a	FY25e	FY26f	FY27f	FY28f
Income Statement						Per Share						
Net Sales	91,761	86,163	89,193	100,256	111,994	Earnings	PKR	5.7	2.0	12.1	16.7	19.4
Cost of sales	84,089	78,771	78,076	86,697	96,825	Dividend	PKR	-	-	3.0	4.0	5.0
Gross profit	7,671	7,392	11,116	13,559	15,169	Book Value	PKR	77	79	84	95	108
Admin exp	863	827	856	886	917	Valuation						
Other charges	26	69	404	494	552	P/E	x	11.3	35.4	5.9	4.2	3.5
Other income	306	178	225	228	231	DY	%	-	-	4.4	6.1	7.1
Finance costs	6,355	5,541	3,914	3,749	3,798	P/B	x	0.8	0.9	0.8	0.7	0.6
Profit before tax	526	916	6,653	9,171	10,673	Payout Ratio	%	-	-	25.0	25.0	25.0
Tax Expense / (Reversal)	(1,381)	416	2,595	3,577	4,163	RoE	%	7.4	2.5	14.4	17.6	17.9
Profit after tax	1,908	667	4,058	5,594	6,511	RoA	%	2.9	1.0	5.7	7.4	8.1
Balance Sheet						D/E	x	1.7	1.6	1.5	1.3	1.2
Paid-up Capital	3,356	3,356	3,356	3,356	3,356	Turnover & Activity						
Total Equity	26,354	26,698	29,741	33,937	38,821	Asset Turnover	x	1.4	1.2	1.2	1.3	1.4
Current Liabilities	38,124	36,325	39,588	40,813	41,812	Current Ratio	x	1.2	1.1	1.2	1.2	1.3
Non-Current Liabilities	5,707	5,833	5,083	4,333	3,893	Margins						
Current Assets	46,104	42,209	44,949	48,872	53,529	Gross Margins	%	8.4	8.6	12.5	13.5	13.5
Non-Current Assets	24,080	26,646	29,463	30,211	30,998	EBITDA Margins	%	7.8	8.1	12.0	13.2	13.2
Total Assets	70,184	68,855	74,412	79,083	84,526	Net Margins	%	2.1	0.8	4.5	5.6	5.8

Source (s): Company Financials, AHL Research

Disclaimer

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Arif Habib Limited (AHL) uses three rating categories, depending upon return form current market price, with Target period as Jun'26 for Target Price. In addition, return excludes all type of taxes. For more details kindly refer the following table;

Rating	Description
BUY	Upside of subject security(ies) is more than +15% from last closing of market price(s)
HOLD	Upside of subject security(ies) is between 0% and +15% from last closing of market price(s)
SELL	Upside of subject security(ies) is less than 0% from last closing of market price(s)

Equity Valuation Methodology

AHL Research uses the following valuation technique(s) to arrive at the period end target prices;

- **Discounted Cash Flow (DCF)**
- **Dividend Discounted Model (DDM)**
- **Sum of the Parts (SoTP)**
- **Justified Price to Book (JPTB)**
- **Reserved Base Valuation (RBV)**

Risks

The following risks may potentially impact our valuations of subject security (ies);

- **Market risk**
- **Interest Rate Risk**
- **Exchange Rate (Currency) Risk**

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